

Earnings or Multiple Expansion?

THE 1980s–90s BULL market was one of the most fascinating eras in US market history. So much that is important to our understanding was evident during that era. Not only does valuation *not* drive equity gains, but earnings—a core part of valuation—is a much smaller part of what moves equity prices higher than commonly understood.

Keith Wibel of Foothills Asset Management observed that:

Over 10-year periods, the major determinant of stock-price returns isn't growth in corporate profits, but rather *changes in price-earnings multiples*. The bull market of the 1980s represented a period when multiples in the stock market doubled, then they doubled again in the 1990s. Though earnings of the underlying businesses climbed about 6% per year, stock prices appreciated nearly 14% annually.^{[194](#)}

That's comparable to my own estimates of equity price drivers. About 75–80% of the gains of that 1982–2000 bull market are attributable not to rising profits, but to P/E multiple expansion. This is very counterintuitive, and the opposite of what is taught in business schools. But the data is very persuasive that the conventional analysis is wrong.^{[195](#)}

To test the conventional wisdom, Wibel examined the growth in earnings in each decade, beginning with the 1950s. Here is his historical data:^{[196](#)}